Future Gold Labs

X (Twitter): https://x.com/futuregoldx

TG: https://t.me/futuregoldlabs

Author: Koi

Reviewer: Jake Liu

Weekly Gold Wrap

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I. Gold Price Recap

For the week ending New York close on Oct 2: COMEX gold futures fell 0.72% on Friday to settle at $4,172.10/oz, with a steep weekly loss of 3.45%. COMEX silver futures dropped 0.76% on Friday to $60.710/oz, shedding 6.31% over the week. Precious metals traded lower across the board this week.

Gold plunged early in the week amid surging US Treasury yields. Mixed US economic releases, safe-haven buying triggered by global bond market turbulence and a much-weaker-than-expected nonfarm payroll report later halted gold's decline. The metal traded in a downthen-stabilized pattern.

-On Monday, following hawkish Fed remarks and strong economic data from the prior week, markets priced in higher odds of an October rate hike and Treasury yields moved sharply higher. Gold came under heavy selling pressure and dipped near $4,100/oz, marking a steep early-week drop.

-On Tuesday, US August JOLTS job openings fell to 7.079 million while September Conference Board Consumer Confidence retreated to 81.9. The soft data capped further USD strength. Gold rebounded more than 1%, recouping part of Monday's losses.

-On Wednesday, US August PCE inflation data was released: headline PCE held at 3.4%YoY, and core PCE stood at 3.0% YoY, below market estimates, with July figures revised down. The cooler inflation print briefly weakened the US dollar. However, the upward revision of Q2 GDP to 2.2% and private payrolls of 90,000, beating forecasts, limited USD losses and curbed gold's upside room.

-On Thursday, the 10-year US Treasury yield broke above 5.3%, hitting its highest level since April 2002. A selloff swept global bonds and heightened stress in European financial markets, triggering safe-haven demand for gold. Gold held above $4,150/oz and closed modestly higher. Gold priced in EUR, GBP and JPY all rose roughly 1% as capital flowed into bullion from other currencies. Meanwhile, Fed officials including Bowman and Kashkari struck a more cautious tone on further tightening, lending mild support to gold.

-On Friday, US September nonfarm payrolls showed just 29,000 new jobs, far below the 90,000 consensus. August payrolls were revised down, the unemployment rate rose to 4.2%, and wage growth cooled to 3% YoY. The weak report prompted markets to sharply cut odds of an October Fed rate hike, underpinning gold, which stabilized ahead of the weekend.

II. Key Drivers Behind Gold's Volatility

1) U.S. Economic Indicators Drive Sharp Correction in Gold

(1) **Major U.S. economic indicators released this week and their impact on gold prices**

- **(1) August JOLTS Job Openings**

August JOLTS job openings came in at 7.079 million, down from July's 7.335 million. The sustained drop in vacancies signals marginal cooling in US labour demand, though the level remains relatively elevated.

- **(2) September Conference Board Consumer Confidence**

September Consumer Confidence fell to 81.9, with the prior reading of 88.6 also revised lower. Consumers turned less optimistic about current conditions and near-term prospects amid concerns over high interest rates, pointing to weaker consumption expectations.

- **(3) August PCE Price Index**

Headline PCE was steady at 3.4% YoY and core PCE printed 3.0% YoY, both below forecasts, alongside downward revisions to July inflation. The data signaled easing inflationary pressures.

- **(4) Q2 GDP Final Estimate & Private Payrolls**

US Q2 annualized GDP was revised up to 2.2%, well above the initial 1.5% reading, driven by personal consumption and business investment. Private payrolls rose by 90,000, exceeding the 70,000 estimate. The figures demonstrated underlying resilience in the US economy despite high inflation and elevated rates.

- **(5) September Nonfarm Payrolls Report**

September nonfarm payrolls added only 29,000 jobs vs the 90,000 forecast. August payrolls were revised lower from 162,000 to 133,000. The unemployment rate climbed to 4.2%, labour force participation edged up to 61.8%, and average hourly earnings moderated to 3.0% YoY. The report showed clear signs of a cooling labour market.

(2) Impact on Gold

US economic data were highly divergent this week. Weaker PCE inflation, falling consumer confidence and the disappointing payroll report reduced bets for an October Fed hike and supported gold. Still, upward GDP and private payrolls data reflected economic resilience. Combined with safe-haven inflows amid global bond selling, conflicting forces drove a choppy market. Gold stabilized after its sharp drop amid multi-factor tug-of-war.

2) Monetary Policy & Gold Market Impact

(1) Fed Developments & Official Views

- Markets initially continued pricing further Fed tightening early in the week. After the release of August PCE and September nonfarm payrolls, Fed officials delivered divided remarks, ending the prior unified hawkish rhetoric. The urgency for an immediate October rate hike diminished notably, yet most officials kept further hikes on the table for this year.

- **Key Fed Leadership Remarks**

- Michelle Bowman, Fed Governor: There is no urgent need for another rate hike this year. Enough time should be allowed to assess the lagged effects of prior tightening. She acknowledged inflation remains above the 2% target and said policymakers will continue monitoring data and do not rule out future policy action.

- **Regional Fed Presidents**

- Neel Kashkari, Minneapolis Fed: He has no strong bias for or against an October hike. Inflation remains too high; further rate increases would create uneven pressure across economic sectors. If economic resilience persists, higher rates may be required, and his baseline still allows for one additional hike this year.

- Lorie Logan, Dallas Fed: Further tightening may still be needed to hit the inflation target. But if rising long-term Treasury yields stem from higher term premiums, financial conditions will tighten on their own, reducing the amount of additional rate hikes required.

(2) Market Watch Data

- **Prime Market Terminal Data:**

Based on CME FedWatch, markets priced multiple potential hikes early in the week on strong economic data. After soft PCE and payroll prints, the probability of a 25bp hike at the October meeting fell sharply, with no change as the base case.

Markets have not fully erased the chance of a hike at the December meeting. Rate-cut expectations remain pushed out substantially to 2027, and "higher-for-longer" rates stay the core market narrative.

(3) Impact on Gold Prices

Fed speakers shifted from broad hawkishness to internal divergence this week. Cooler inflation and employment data reduced odds of an immediate October hike and eased pressure from rising Treasury yields, offering support to gold. Nevertheless, the possibility of additional hikes this year remains, and the higher-rate regime has not reversed. Safe-haven flows from the global bond selloff added another variable, leading to intense crosswinds for bullion.

3) Yields, USD & Gold Dynamics

(1) Dollar Index Behavior

DXY closed at 101.93 on Friday. It rallied early in the week, hit an intraday peak of 102.21 on Thursday, then retreated after the payroll release. Early-week strength stemmed from pricing for strong data and hawkish Fed commentary. The weaker August PCE and September payrolls signalled labour market cooling, prompting a pullback in hike bets and pushing the dollar off highs. Despite the late-week decline, underlying economic resilience kept the dollar in a high-range consolidation.

(2) **US Treasury Yields & Gold Dynamics**

The 10-year Treasury yield topped 5.3% intraday, the highest since 2002, before settling back to 5.18% on Friday. The 30-year yield also surged. Long-end bonds were sold off early in the week on strong data and higher-for-longer pricing, even as the Treasury conducted buybacks to improve liquidity; this was overwhelmed by fundamental and policy expectations. Yields retreated after soft PCE and payroll data, yet real rates remained elevated without a trend decline.

(3) Impact on Gold

Early-week strong data and hawkish Fed comments lifted long-end yields and the dollar, raising the opportunity cost of holding non-yielding gold and weighing on prices. The later pullback in yields and the dollar after weak PCE and payrolls partially relieved pressure, while safe-haven demand from global bond selling helped gold halt its fall, resulting in heightened two-way volatility.

4) Geopolitical Tensions & Safe-Haven Demand

(1) Geopolitical Tensions

1) US-Iran Tensions & Infrastructure Repairs

US and Iran remained in confrontation without large-scale escalation. Shipping through the Strait of Hormuz stayed normal. The damaged Saudi east-west oil pipeline continued repairs. Saudi Aramco adopted ship-to-ship crude transfers via Oman's Sohar port as an alternative export route, gradually restoring pipeline capacity. The risk premium for supply disruption faded rapidly. The G7 announced coordinated strategic petroleum reserve releases, further depressing oil's geopolitical premium.

2) Broader Middle East Escalation: Lebanon-Israel Conflict

Clashes between Israel and Hezbollah continued, with Israeli airstrikes targeting southern Lebanon and Beirut. Local geopolitical risk rose temporarily and briefly boosted safe-haven demand. However, the

conflict remained contained and did not affect major oil-producing states, so the geopolitical premium lacked staying power.

3) Russia-Ukraine Conflict & Nuclear Policy Shift

No major battlefield breakthroughs this week. Both sides exchanged long-range drone and missile strikes. Markets began pricing tail risks from potential revisions to Russia's nuclear deterrence doctrine and debates over Western approval for long-range weapons for Ukraine, lifting long-term geopolitical uncertainty. No sudden major events emerged to trigger immediate market shocks.

4) Crude Oil Supply-Demand Dynamics & Price Analysis

Oil prices rose then crashed this week. Early gains were driven by Middle East geopolitical risk premiums. The launch of Saudi Arabia's alternative export route boosted crude loading volumes. Combined with G7 reserve releases, supply concerns faded and oil slumped late in the week. Lower crude eased market inflation expectations and partially mitigated upward pressure on long-end Treasury yields.

(2) Impact on Gold

Geopolitics created opposing forces for gold. Regional Middle East risks brought brief safe-haven buying. Yet restored Saudi oil flows and SPR releases pushed crude lower and cooled energy-led inflation expectations. Still, elevated real rates and a strong dollar dominated, limiting safe-haven inflows. Gold fell sharply early before slowing its decline and consolidating.

5) Tariff Turmoil Drives Gold Swings

① Tariff & Trade Policy Developments

- Only scattered sector-specific trade investigations emerged globally this week, with the overall trade environment stable. China launched trade remedy probes on certain imports. The US and EU kept existing trade barriers unchanged with no broad new tariff hikes, only routine industry reviews.

② Impact on Gold Prices

These localized trade developments have limited impact on global inflation and supply chains and barely moved gold prices. Gold remained primarily driven by US economic data, Fed expectations, Treasury yields and the US dollar; trade news exerted only marginal influence.

6) Gold Market Observation

1. World Gold Council |Gold in Pension Funds: Case studies

① Executive Summary

Against geopolitical tensions and repeated inflation shocks, alongside breakdowns in the traditional negative stock-bond correlation, global pension funds are restructuring portfolios and paying greater attention to gold. Pension funds allocate to gold not to bet on short-term gold price moves, but to meet broader portfolio goals: improving funded ratios, diversifying risks during market stress, hedging inflation, maintaining liquidity and enhancing risk-adjusted total portfolio returns.

Pension funds differ in size, governance, risk budget and investment philosophy, leading to varied gold weights and implementation methods. The report does not recommend a universal allocation benchmark, but uses real case studies to show how pensions integrate gold according to their own objectives.

② Rationale for pension gold allocations

- **Diminished stock-bond diversification**

High-grade government bonds were the traditional portfolio hedge, yet stock-bond correlation has risen sharply in recent years, exposing flaws in the classic 60/40 portfolio. Investors seek assets resilient across varied macro regimes.

Gold maintains low correlation with global equities. It turns markedly negatively correlated during severe equity selloffs and offers more reliable diversification than US Treasuries, especially amid simultaneous shocks to rates and inflation.

- **Inflation hedging and portfolio resilience**

Gold can serve as an inflation hedge, though effectiveness varies with periods and inflation metrics. Historically, gold delivered strong nominal and real returns during high-inflation episodes, protecting purchasing power from rising prices and acting as a buffer against currency depreciation driven by monetary expansion and fiscal deficits.

③ **Case studies**

- **Pensioenfonds PDN (Netherlands, €7.7bn AUM)**

Built a 5% gold target allocation between Oct 2020 and Apr 2021. Asset-liability modelling showed gold could cut portfolio risk without sacrificing expected returns.

At that time, long German bond yields turned negative, and pandemic monetary expansion stoked inflation concerns. The fund cut government bond exposure by 10%, deploying half the proceeds into physical gold and the rest to equities, real estate and infrastructure.

- **Fairfax County Employee Retirement Systems (US, $6.2bn AUM)**

It adopts a risk-balanced framework, reducing traditional equity exposure and adding diversifying alternative assets. Gold accounts for 3% of assets under real assets. The position is built via futures without full capital lock-up, freeing capital for growth assets.

The allocation started in 2020 to hedge inflation and exploit gold's negative correlation with risky assets during crises for extra diversification.

- **Now Pensions Master Trust (UK, £8bn AUM, 2.5mn members)**

First invested in gold in Apr 2021, holding roughly 2% of total assets within alternatives (alternatives make up 10% of the growth portfolio, including gold, industrial metals, carbon credits and high-yield bonds).

Its investment framework centres on return, risk and real-world impact. Gold provides diversification for a portfolio dominated by stocks and fixed income.

- **NGS Super (Australia)**

An industry fund for education and community professionals, it has maintained a 3% gold allocation since June 2020. Its multi-asset strategy combines government bonds, alternatives and gold to mitigate drawdowns amid high volatility. The fund views gold as performing well during geopolitical stress, high inflation and currency debasement.

④ **Report conclusion**

Pension funds implement gold in two main ways: physical gold held as a long-term strategic position under real or inflation-sensitive assets, or futures-based exposure.

There is no single optimal allocation size. The cases illustrate gold's suitability for long-duration pension capital; funds must decide allocations and implementation based on their investment objectives, governance rules and funded status.

III. Outlook & Key Catalysts

- **Next Week's Focus:**

Oct 6 Mon: US Dallas Fed Manufacturing Index

Oct 7 Tue: US August Trade Balance, September JOLTS Job Openings, S&P Case-Shiller Home Price Index

Oct 8 Wed: EIA Crude Oil Inventory
Oct 9 Thu: US Weekly Initial Jobless Claims, September ISM Non-Manufacturing PMI
Oct 10 Fri: University of Michigan Consumer Sentiment & Inflation Expectations Final
Markets will focus on US service-sector activity, labour supply-demand balance and household inflation expectations to gauge economic strength and inflation stickiness. These data will further shape Fed policy pricing and drive the US dollar, Treasury yields and gold. Other secondary indicators will trigger only minor short-term fluctuations.
Geopolitical and trade risks: Middle East tensions remain volatile and may temporarily swing oil prices and safe-haven sentiment. No major new global trade policies are expected and trade impacts will be muted. Gold will remain primarily driven by US macro fundamentals and interest-rate expectations.

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